

Deflation

Meaning and Definition

Deflation means a continuous and general fall in the prices of goods and services in an economy over a period of time.

During deflation, the purchasing power of money increases, because the same amount of money can buy more goods and services.

Example: If the general price of a basket of goods falls from ₹1,000 to ₹900, the economy is experiencing deflation.

Deflation is different from a temporary fall in the price of one product. It refers to a widespread and continuing fall in the general price level.

Flow Chart of Deflation



Causes of Deflation

1. Fall in Money Supply

When the supply of money in the economy decreases, people have less money to spend. Demand falls, causing prices to decline.

Why does the money supply decrease? It may decrease when the central bank sells government securities, raises reserve requirements, increases policy interest rates, or when commercial banks reduce credit creation.

2. Reduction in Bank Credit

If banks reduce loans or charge very high interest rates, consumers and businesses borrow less. This reduces consumption and investment.

3. Decrease in Government Expenditure

When the government reduces spending on development projects, salaries and public services, total demand in the economy may fall.

4. Increase in Taxes

Higher taxes reduce the disposable income of consumers. As a result, people spend less, and prices may fall.

5. Excess Production

When the production of goods is greater than demand, unsold stocks accumulate. Producers reduce prices to sell their goods.

6. Fall in Consumer Demand

People may postpone purchases because they expect prices to fall further. This causes demand and prices to decrease.

7. Fall in Investment

Low profits, uncertainty and weak demand may discourage businesses from investing. This reduces employment and income.

8. Increase in Savings

When people save more and spend less, consumption demand falls. This may lead to deflation.

9. Reduction in Wages and Employment

Unemployment and wage cuts reduce people's income and purchasing power, causing a further decline in demand.

Causes of Deflation

Decrease in money supply

+

Reduction in credit

+

Higher taxes

+

Lower government spending

+

Fall in investment and consumption



Decrease in total demand



Excess supply of goods



Fall in the general price level



Deflation

Measures to Control Deflation

1. Expansionary Monetary Policy

The central bank should increase the supply of money and credit in the economy.

It may:

- Reduce bank and interest rates
- Reduce the cash reserve ratio
- Purchase government securities
- Make loans easier and cheaper

These measures encourage borrowing, investment and spending.

2. Expansionary Fiscal Policy

The government should increase public expenditure on infrastructure, education, healthcare and employment programmes.

Increased government spending raises income, employment and demand.

3. Reduction in Taxes

The government may reduce personal and business taxes. This increases disposable income and encourages consumption and investment.

4. Deficit Financing

During severe deflation, the government may use limited deficit financing to increase expenditure and create demand in the economy.

5. Encouragement of Consumption

Consumers should be encouraged to spend through lower interest rates, tax concessions, subsidies and easy instalment facilities.

6. Increase in Employment

The government should introduce employment-generation programmes. Higher employment increases income and purchasing power.

7. Increase in Wages

A reasonable increase in wages raises consumers' purchasing power and demand for goods and services.

8. Easy Credit Policy

Banks should provide affordable loans to consumers, farmers and businesses. Easy credit increases consumption, production and investment.

9. Promotion of Investment

The government may provide subsidies, tax benefits and financial support to encourage private investment and business expansion.

10. Control of Excess Production

Production should be adjusted according to market demand. This prevents excessive stocks and a continuous fall in prices.

Measures to Control Deflation

Increase money supply and bank credit

+

Reduce interest rates and taxes

+

Increase government expenditure

+

Promote employment and investment



Increase income and purchasing power



Increase consumption and investment



Increase total demand



Prices and production recover



Deflation is controlled